

5-5a Gross Method

Under the [gross method of recording sales discounts](#) (A method of recording a sales invoice at the gross amount rather than the amount net of any discounts offered for early payment.) , a sales invoice with credit terms that include a discount for early payment is recorded at the invoice amount. If the customer pays within the discount period, Cash is debited for the amount received, the discount is recorded as a debit to Sales Discounts, and Accounts Receivable is credited for the invoice amount. Sales Discounts is a contra (offsetting) account to Sales and is used so that managers can determine the sales discounts taken during the period.

To illustrate, assume that **NetSolutions** sold \$18,000 of merchandise to Digital Technologies on March 10, 20Y8, with credit terms of 2/10, n/30. The cost of the merchandise sold was \$10,800. The sale would be recorded under the gross method as follows:

20Y8									
Mar.	10	Accounts Receivable—Digital Technologies			18,000				
		Sales						18,000	
		Assets	=	Liabilities	+		Stockholders' Equity		
		Accounts Receivable					Sales		
		18,000					18,000		

Mar.	10	Cost of Goods Sold			10,800				
		Inventory						10,800	
		Assets	=	Liabilities	+		Stockholders' Equity		
		Inventory					Cost of Goods Sold		
		10,800					10,800		

Assuming Digital Technologies pays within the discount period on March 20, the payment would be recorded as follows:

Mar.	20	Cash			17,640				
		Sales Discounts			360				
		Accounts Receivable—Digital Technologies						18,000	
		Assets	=	Liabilities	+		Stockholders' Equity		
		Cash					Sales Discounts		
		17,640					360		
		Accounts Receivable							
		18,000							

Instead of paying within the discount period, assume that Digital Technologies pays the gross amount of \$18,000 on April 9. The payment would be recorded as follows:

Apr.	9	Cash			18,000				
		Accounts Receivable—Digital Technologies						18,000	
		Assets	=	Liabilities	+		Stockholders' Equity		
		Cash							
		18,000							
		Accounts Receivable							
		18,000							

Generally accepted accounting principles (GAAP) require that sellers record revenue (sales) in the amount mostly likely to be received (entitled). Thus, when a customer takes or is likely to take a discount, sales must be reported *net* of the discount.

To illustrate, assume that at its year-end on December 31, 20Y2, Newland Interiors has a credit balance of \$3,750,000 in Sales and a debit balance of \$610,000 in Sales Discounts. Newland Interiors would report *Net sales* of \$3,140,000 (\$3,750,000 – \$610,000) on its income statement.

If Newland Interiors has a significant balance in Accounts Receivable on December 31, 20Y2, that are subject to sales discounts, an adjusting entry would be necessary to reduce Accounts Receivable and Sales to the amount expected to be received (entitled) in the following year. Since most companies have a fiscal year-end accounting period that coincides with their lowest level of operating activity, their end-of-the-year Accounts Receivable balance is normally relatively small. For this reason, this adjusting entry is not illustrated.